

CAPITAL MARKETS

GO Residential's \$109M Crown Heights Buy: The Tax Clock Is the Real Asset

A Canadian REIT is buying Brooklyn apartments at a price that only makes sense with a 421-a exemption through 2056.

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A source-grounded Light Tower Insight. The complete note follows.

GO Residential REIT paid \$109 million for a 186-unit apartment building at 409 Eastern Parkway in Crown Heights. The price per unit is roughly \$586,000. That is a number that requires explanation in a market where Brooklyn multifamily trades at a wide range of cap rates and where new supply is still coming online.

The explanation is not the building. It is the tax abatement.

The property carries a 421-a exemption that took effect in 2020 and runs through 2056. That is 30 years of reduced property tax liability on a 197,000-square-foot rental building. In New York City, where effective tax rates on multifamily can approach 25 percent of net operating income, a 421-a exemption is not a subsidy. It is a structural yield enhancement that changes the underwriting entirely.

GO Residential is a Toronto-based REIT that launched last year and exclusively invests in New York City apartments. It is run by Meyer Orbach and Josh Gotlib. The REIT made headlines this spring when it agreed to pay \$220.5 million for two office-to-residential conversion properties from SL Green at 183-185 Broadway and 7 Dey Street. That deal closed in June. Now it is adding Crown Heights.

The sellers were FBE Ltd., Adam America Real Estate, and Zev Marmurstein. GO Residential acquired an 81 percent stake in the property. It is unclear whether the sellers retained the remaining 19 percent or whether that stake is held by another party. The structure matters. If the sellers kept a piece, they are betting on the same tax clock the buyer is.

Here is what the deal reveals about capital, risk, and timing.

First, the basis is defensible only because of the tax abatement. Without 421-a, the effective tax rate on a 2020-vintage building in Brooklyn would be materially higher. The difference flows directly to net operating income. A buyer underwriting a stabilized yield on this asset is underwriting the tax exemption as a core income stream, not a bonus. That means the buyer is also underwriting the risk that the exemption survives any future policy change. New York State has modified 421-a before. It

could do so again. The buyer is betting that the exemption, once granted, will not be retroactively altered.

Second, the deal signals that institutional capital is willing to pay for tax-advantaged cash flow in a market where unsubsidized multifamily yields are under pressure from elevated interest rates and operating cost inflation. GO Residential is not buying a distressed asset. It is buying a stabilized asset with a structural cost advantage that its competitors lack. That is a deliberate capital allocation decision, not a bet on rent growth.

Third, the REIT's portfolio now totals 2,731 residential units, all in New York City. That is a concentrated bet on one market, one regulatory regime, and one tax policy framework. The REIT's cost of capital, as a publicly traded entity, is lower than that of most private sponsors. That gives it the ability to pay a premium for assets that private capital cannot underwrite to the same yield. The question is whether the premium is justified by the tax advantage or whether it simply reflects the REIT's need to deploy capital.

For owners of multifamily assets in New York City, the implication is straightforward. If your building does not have a 421-a exemption, your effective tax burden is a structural drag on your NOI that a tax-advantaged buyer can arbitrage. That means the bid for your asset is narrower than the bid for a comparable building with an exemption. The market is bifurcating not just by location and quality, but by tax status.

For lenders underwriting multifamily in Brooklyn, the deal is a reminder that tax abatements are not passive underwriting inputs. They are active risk factors. A lender financing a 421-a building is lending against cash flow that depends on a policy decision. That is not the same as lending against market rent. The risk premium should reflect the difference.

For sponsors considering a sale, the deal suggests that tax-advantaged assets can command a premium from REIT buyers who need yield and have a lower cost of capital. But the premium is not a signal that the broader multifamily market has repriced upward. It is a signal that a specific asset class within the market has a structural advantage that a specific buyer type is willing to pay for.

The deal is not proof that Brooklyn multifamily is back. It is proof that a 30-year tax exemption is worth capitalizing at a REIT's cost of capital. The building is the vehicle. The tax clock is the asset.

SOURCES

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<https://www.bisnow.com/new-york/news/deal-sheet/go-residential-reit-acquires-brooklyn-apartment-building-for-109m-ny-deal-sheet-135504>

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